Executive Summary: Xiaomi should position its MiCar as Entry-level EV, and design an Omni-chain service linked with MiOT Ecosystem

Overview (Insights → Implication)

Market Overview

- By 2030, sales volume of EV will reach **10.8 million, with 40% market penetration**
- Driven by upgraded technology and improved consumer acceptance

Competition Landscape

- **Huge vacancy** in Entry-level EV brand segment, with **Xpeng** being the top leader
- Xiaomi has no privileged advantages on production, technology and supply chain

Customer

- **Target Customer:** Small-town youth, Young white collar, and University student
- **Key purchasing criteria:** Cost performance, Service, Intelligence, and Brand

Position

- **External:** Big gap between competitors' offering and customers' need
- **Internal: Xiaomi's strengths** on Cost efficiency, Brand & Customer, MiOT ecosystem, financial capabilities **Xiaomi's weakness** on hardware technology

Position

- **Brand Position:** Entry-level, intelligent, trustworthy, and consumer-centric
- **Brand Idea: The first ICV for young people**
- **Functional Benefit**: Cheap, All-around service, Intelligent
- **Emotional Benefit**: Stylish, Eco-friendly, Connected

Strategy

'2+1' Go-to-market Strategy linked with MiOT Ecosystem

Go-to-market

A Product Offering

- **Product:** RMB 100-200k, Coupé, BEV
- **Positioning:** a cheaper XPeng P7
- **Unique advantages**
  - Affordable advanced driving technologies
  - "Connecting the Future" via MIUI Family and MiOT Ecosystem

B Sales Model

- **Model:** Direct sale combining online and offline
- **Stores:** Build 3 types of stores covering pre-sale, in-sale and after-sale

C Brand Strategy

Xiaomi should build an omni-chain brand strategy

- ***Brand Marketing:*** PUSH & PULL strategy
- ***Sales Lead Nurturing:*** Customized campaigns
- ***Test Driving:*** In-store & On-road experience
- ***Delivery:*** Customized car insurance + Flexible delivery modes
- ***After-sales:*** MI Charger Facility Mix + Upgraded user community

Forecast

Sale Volume: 69,275 cars in year 3

The sales volume of EV will reach 10.8 million in 2030, driven by upgraded technology and improved consumer acceptance

Market

Policy Driven | Market Driven

Initial Stage: 2015-2018

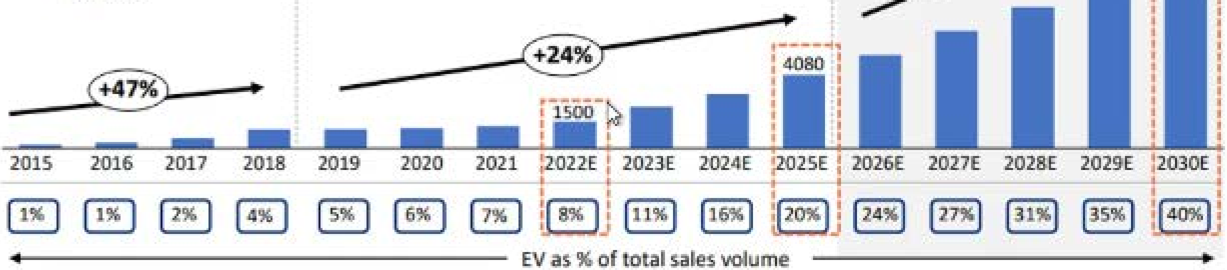
- **Driven by policy**, the supply side is still immature
  - Consumer-end subsidies
  - Few EV brands and limited products

Transitional stage: 2019-2025

- **Mainly guided by policy**, with gradually mature technology and richer product supply
  - Supply side subsidies (Double points Policy)
  - More joint ventures and new entrants

Mature stage: 2025-2030

- **Market will drive future growth**



Key drivers

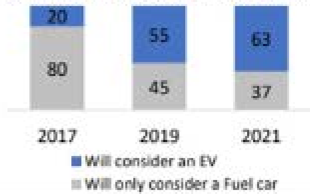
1 Supply: Upgrade of EV Tech

Cruising mileage of EV (2015-2020)

'3-power tech' of EV is mature, cruising range increase to solve the problem of range anxiety

2 Demand: Improved consumer acceptance

Type of vehicle considered for the next car



Consumer acceptance of EVs has increased significantly

There are 3 modes of automobile sales, among which Agency Model and Direct sales are more suitable for EV due to their advantages in service and data

Indirect — Mix — Direct

Sales Process	1. Franchised Dealer	2. Agency Model	3. Direct Sale
	• OEMs sell cars to dealers who complete whole sales process	• OEM sell directly, and dealers are responsible for delivery and service	• OEMs sells directly without the participation of dealers
Store rent	D	D	O
Sales lead	D	O	O
Test drive	D	D	O
Transaction	D	O	O
Delivery	D	D	O
After-sale service	D	D	O
Customer data	D	O	O

D Dealers O OEMs

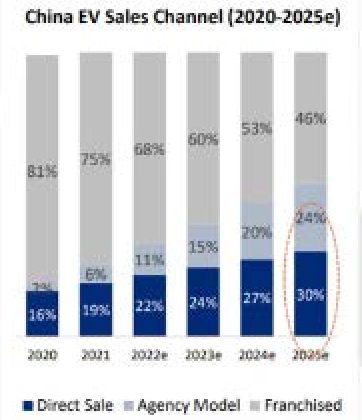
Online + Offline

Index Comparison	1. Franchised Dealer	2. Agency Model	3. Direct Sale
Capital flow	• Dealers take sales costs and risk on behalf of OEMs	• Dealers share distribution costs and risk with OEMs	• Huge upfront investment for OEM
Service flow	• Dealer sets **inconsistent prices**	• **OEM sets one-price-fits-all**	• OEM sets price and provide omni-chain service
Data flow	• Data is owned **by dealers**	• Data held centrally by the **OEM**	• Data centralized **at OEM**

Adopters	Traditional cars	EV/ Core Model of traditional cars	New entrants of EV
	- Formed mature dealer system - Low interaction with clients	- Focus on CRM - With the ability to undertake stock	- No dealer system at all - Strong financing ability

Source: Bain, Roland Berger, InnOWator Analysis

By 2025, 54% of EV will be sold through Agency and Direct sale, mainly driven by the transformation of the needs of customers, dealers and OEMs



By 2025, more than **50%** of new energy vehicles will be sold through direct sales and agency model

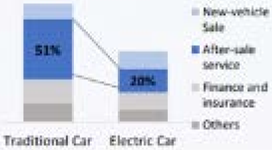
1 Changes of Customer Expectations

Customer expectation survey (1067 respondents)

2 Subversion of Dealer's Income Structure

- **>50%** of dealers profit from **after-sales service**
- EV's product structure is simpler, the demand for after-sales service decreased

Dealer's profit structure



3 OEM demand for consumer data

>80% OEM state that customer data is important for Just In Time production and Omni-chain service

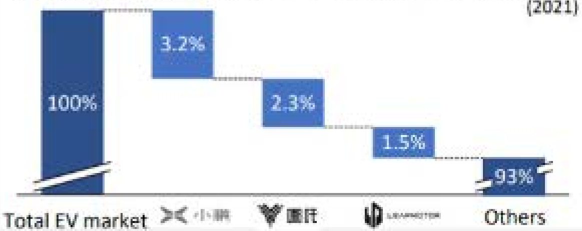
New Business Model

Source: Customer Survey, innOWator Analysis

Entry-level EV market is fragmented with XPENG being the top leader, compared with whom Xiaomi has privileged advantages on four aspects

1 Huge vacancy in Entry-level EV market segment

Entry-level Electronic Vehicle Brands: ~7% of Total EV market (2021)



2 Strength and Weakness analysis on major competitor

		xiaomi	小鹏
Brand	Brand Position	Entry-level	Entry to middle level
	Brand Awareness	Strong	Medium
	Customer Loyalty	Strong	Weak
Product	Production Capacity	Weak	Medium
	Hardware Technology[2]	Weak	Strong
	Software Technology[3]	Strong	Strong
Channel	Major Footprint	Tier 1-4 cities	Tier 1-2 cities
	Supply Chain Management	Weak	Medium
	After-sales Service	Strong	Medium

XIAOMI's Strengths

1. Cost performance
2. Brand & Customer
3. Service
4. Software Technology

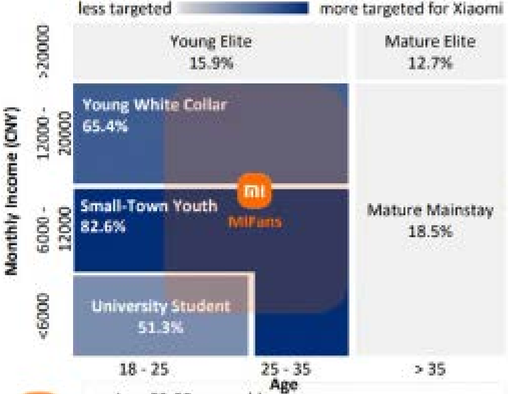
Note: 1. Hardware Technology refers to chip, lithium battery, material, etc.; 2. Software technology refers to V2X and Autonomous driving

Source: CPCA (China Passenger Car Association), Company Official Websites, innOWator Analysis

To lead in Entry-Level EV market, Xiaomi should target Small-town youth, Young white collar and University student, and satisfy their pain points

1 Our survey shows 6 customer types, which partly overlaps with MiFan's profile

% stands for the percentage of the group that are willing to buy Entry-level EVs according to the survey (1067 respondents)



MI Fans' Profile

- Age: 22-35 years old
- Occupancy: Company employees, Professional technicians, Civil servants, Students, etc.
- Income: 3,000-20,000RMB/Month
- City: First-tier to fourth-tier cities

2 Target customer profile for MiCars

Small-Town Youth

- **Age**: 18 - 35 years old
- **Income**: < ¥ 12000 / month
- **Living place: Tier 3 & 4 cities**
- Car is the **tool** of commute
- They care about **brand, price, functionality, and interior space**

Young White Collar

- **Age**: 18 - 35 years old
- **Income**: ¥ 12000-20000 / month
- **Living place: Tier 1 & 2 cities**
- Car is an **extension** of their life
- They focus on **brand, functionality, safety and social connection**

University student

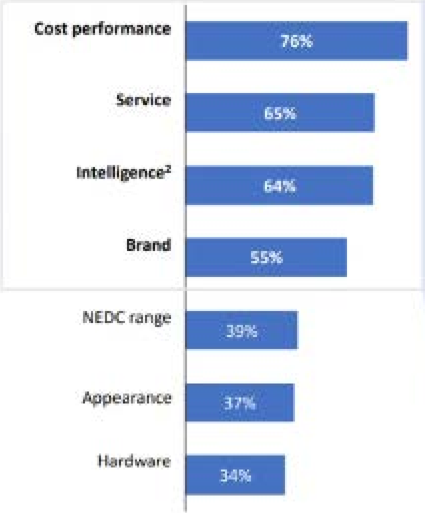
- **Age**: 18 - 25 years old
- **Income**: < ¥ 6000 / month
- **Living place:** City or Town
- They play a **growing role** in family's car decision-making

Source: Customer Survey, Company Official Websites, innOWator Analysis

Cost performance, service, V2X and brand are the top KPCs[1] for target customers, on which Xiaomi has advantages

1 Key purchasing criteria for customers purchasing Entry-Level EV

1067 respondents



2 Xiaomi's performance on the top four KPCs, compared with EV market best practice

KPCs	Xiaomi	VS Best practices	Xiaomi's Performance
Cost performance	Well-known brand image for **cost-effectiveness**	**Motors Wuling**'s flagship MINIEV is priced at ￥32,800 and sold **127k+ units** in 2021	On par
Service	**10k+ Xiaomi Home** across China	**NIO**'s service system (**NIO House + Power + Service**) covers the whole process of sales and after-sales	On par
Intelligence	**478 million devices** connected to Xiaomi's AIoT systems	**XPeng** owns advanced autonomous driving technologies	Promising
Brand	Accumulated huge number of loyal Xiaomi **fans**	**Tesla** is the leading EV brand worldwide	Promising

Note: 1. KPC refers to Key Purchasing Criteria, 2. Intelligence refers to Autonomous driving and V2X (Vehicle to everything)

Source: Customer Survey, innOWator Analysis

Xiaomi can fulfill the current gap between market offerings and customer needs; MiCar should position itself as The first ICV[1] for young people

1 Big gap between competitors' offering and customers' need in Entry-level EV segment

Customers' demand:

- High cost-performance ✓
- Intelligence Level ✓
- Trustworthy brand image
- Attentive service

VS

Competitors' offerings gap:

- **New EV companies** didn't accumulate big brand voice
- **Traditional car companies** paid less attention to customer service

2 Xiaomi's distinguished strengths compared with other Entry-level EV players

Xiaomi Mode	Xiaomi brand is widely recognized as cost-effective in the fields of cell phones, home appliances etc.
Brand & Customer& Service	Xiaomi has solid customer base, high brand awareness and consumer-centric service
MIOT Ecosystem	Xiaomi's ecosystem MIOT has basically formed, and V2X (Vehicle to everything) will become an essential part
Financial Strength	Xiaomi disclosed an initial investment of ¥10bn in MiCar, with an estimated investment of $10bn in the next 10 years

3 MiCar should position itself as Entry-level, intelligent, trustworthy, and consumer-centric

mi

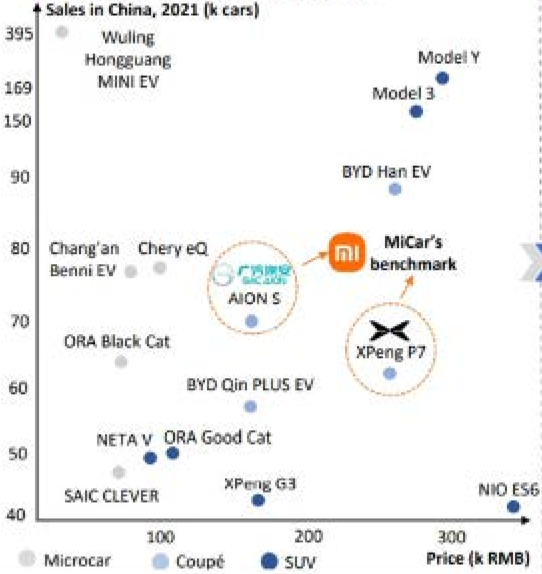
Brand Idea	The first intelligent connected vehicle for young people
Brand Features	Entry-level; Trustworthy; Intelligent; Consumer-centric
Target Customer	• Small town youth • Young White Collar • Student
Functional Benefit	• Cheap (Cost-effective) • All-around service • Intelligent • Trustworthy brand & products
Emotional Benefit	• Stylish • Safe • Eco-friendly • Connected

Note: 1. ICV refers to intelligent connected vehicle

Source: XIAOMI Annual Report, innOWator Analysis

A1 Flagship model MiCar should be a BEV[1] priced at RMB 100-200k, benchmarking against AION S in price and XPeng P7 in intelligence

1 Among Top15 sales BEV models, popular coupés are limited, mostly priced at RMB 150k+



2 MiCar should outperform the similarly priced AION S, aiming at XPeng P7 as an outstanding ICV[2]

4 KPCs	AION S	XPeng P7	MiCar
Cost Performance	140-180k RMB	240-260k RMB	**100-200k RMB**
Service	Lack of transparency and customization	Considerate service package	Considerate service in the **whole journey**
Intelligence	L2 Automated driving	L2.5 Automated driving	**L2.5** Automated driving and V2X[3]
Brand	• Low to mid-range • Under transition	• Mid-range • Known for new tech	**Affordable advanced tech**

Note: 1. BEV=Battery Electric Vehicle; 2. ICV=intelligent connected vehicle; 3. V2X=Vehicle to Everything

Source: Company Official Websites, CPCA (China Passenger Car Association), EqualOcean Intelligence, innOWater Analysis

A2 MiCar aims to be a cheaper XPeng P7, focusing on affordable advanced intelligence through investment and self-development

1 MiCar is similar to XPeng P7 but cheaper


	MiCar	XPeng P7
Model	Four-door coupé BEV[1]	Four-door coupé BEV
Slogan	The first ICV[2] for young people	The first intelligent car for young people
Production	• OEM + Self-built factories • Most auto parts are supplied by third-parties • Core patents are largely at the software level - "Define the car with software"	

Ideal scenario

2 Xiaomi accelerates technology preparation by investing in startups across the whole supply chain

Electric system		Intelligent driving	
Motor & controller suppliers	Battery suppliers	Sensor suppliers	Intelligent driving solution providers
EVTECH, Chilye, …	GanfengLithium, SVOLT, WELION, …	PHOTONX, …	zongmu, 黑芝麻智能 BLACK SESAME TECHNOLOGIES, DeepMotion, PATEO, …

Outsourcing + Self-production

- Save inputs for intelligence
- Secure the supply chain
- Improve bargaining power

Self-development

- Master core technologies
- Catch up fast with XPeng

Affordable advanced driving technologies

Note: 1. BEV=Battery Electric Vehicle; 2. ICV=intelligent connected vehicle; 3. AIoT=Artificial Intelligence of Things; 4. V2X=Vehicle to Everything
Source: Company Official Websites, 36Kr, innOWator Analysis

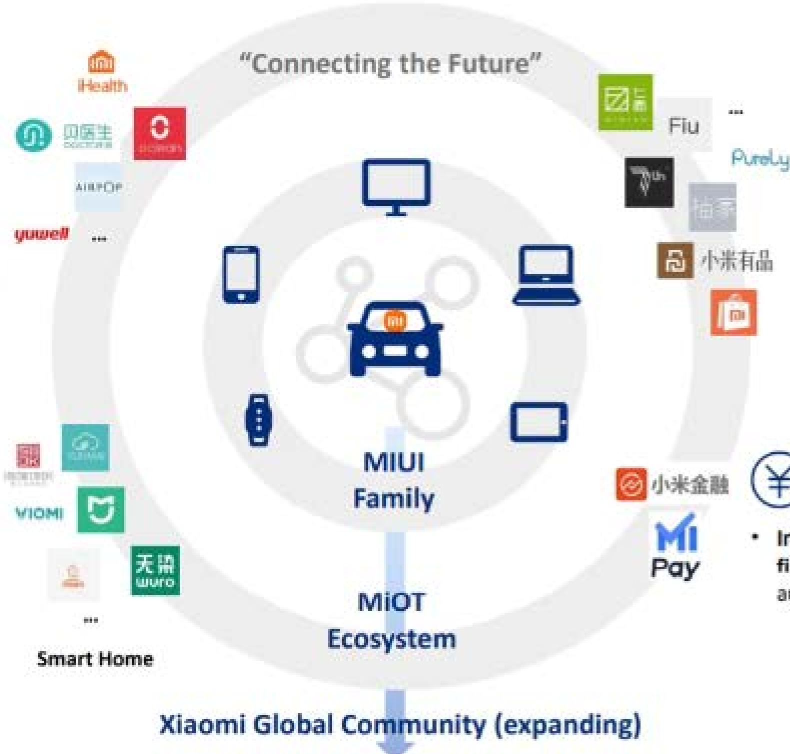
A3 MiCar should create more connections beyond established boundaries, functioning as the new core of MIUI Family and MiOT Ecosystem

Healthcare

- Monitor **health conditions** before and during driving
- Provide **health management** and **driving suggestions**
- **Automatically head** to nearby hospital in case of accident

Lifestyle

- Give **living recommendations** through driving data
- Cover sports, clothing, etc.
- Connect to Xiaomi E-commerce



Smart Home

- **Connect** MiCar to **household appliances** and control them remotely

Payment

- **In-car payment and finance** makes MiCar automotive smart

Source: Company Official Websites, innOWator Analysis

8 MiCar should adopt the direct sale strategy, combining online and offline, and build 3 types of stores covering pre-sale, in-sale and after-sale

1 Direct Model's advantages for EV sales

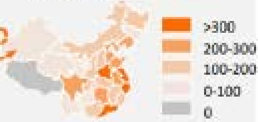
- Transparent price
- Omni-channel Service
- Accessible Customer Data

2 XIAOMI's sales channel advantages

A Online platform: **XIAOMI YOUPIN**

- DAU: **2.3 million**
- GMV: **18 billion**

B Offline stores: **MI HOME**



- **1W+ stores**
- **Sinking market:** 100% tier1&2 cities, **80%** tier 3&4 cities

3 MiCar : Online and offline direct sales

Xiaomi's sale chain

3 types of core stores

Near *Distance from target customer* **Far**



	❶ MiCar Pop-up	❷ MiCar Space	❸ MiCar Delivery
Location	City's core business district (shopping mall)	City centers <500 ㎡	Suburban >1000 ㎡
Function	Efficient and cost - effective product display	Product display and sales space	Delivery, charge, repair, maintenance,etc.
Customer oriented	**Pre-sales experience**	**Pre sale experience** and **in sale purchase**	**Delivery** and **after-sales** service

Source: Lit Research, XIAOMI Annual Report, InnOWater Analysis

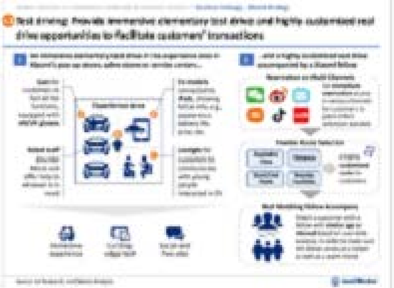
C Xiaomi should build an omni-chain brand strategy covering the entire purchasing process to realize potential customers' inbound and conversion

Inbound — Conversion

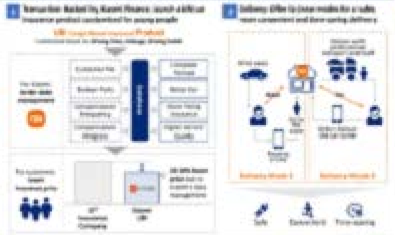
	Brand Marketing	Sales Lead Nurturing	Test Driving	Car Delivery	After-sales service
Strategy Description	1 PUSH & PULL strategy	2 Customized campaigns in 3 typical scenarios	3 In-store & On-road experience	4 Customized car insurance + Flexible delivery modes	5 MI Charger Facility Mix + Upgraded user community
	6 Whole-cycle membership management system focused on 'points' inspiration				
Expected Outcome	Transfer potential customers from public domain to **Xiaomi's private domain**	**Impress** target customers, thus making MiCar a good choice for them to buy	Get test drivers excited about the experience and **committed to buy MiCar**	Enable customers to **pay without concerns**	Give customers a **feeling of family** during car utilization


Brand marketing: Precisely identify and accumulate highly potential customers, transferring them from public domain into Xiaomi's private domain


Sales lead nurturing: Further build sales lead between Xiaomi and customers with customized campaigns in 3 typical scenarios


Test driving: Provide immersive elementary test drives and highly customized real drive opportunities to facilitate customers' transactions

Transaction & delivery: Provide reliable and customized financial insurance support, and design two delivery modes based on customers' requirements



After-sales service: Build a comprehensive charging facility mix and customer community to raise customers' loyalty and stickiness

Build a whole-cycle membership management system focused on "points" to realize the growth of the entire Xiaomi Ecosystem

Sales Forecast

Year 1 MiFans Conversion

Xiaomi MIUI users in China

From Xiaomi User Profile

- University student
- Small-town Youth
- Young White Collar

× *%Reach rate*

Who have interest in MiCar

× *%Conversion rate*

Who take a test drive

× *%Turnover rate*

MiCar Purchasers

Year 2~ MiFans Conversion + MiCar Users "Fission"

Xiaomi MIUI users in China × *%Growth*

From Xiaomi User Profile

- University student
- Small-town Youth
- Young White Collar

× *%Reach rate*

Who have interest in MiCar

× *%Conversion rate*

Who take a test drive

× *%Turnover rate*

MiCar Purchasers

\+

Existing MiCar users

× *#New target customers reached by each user*

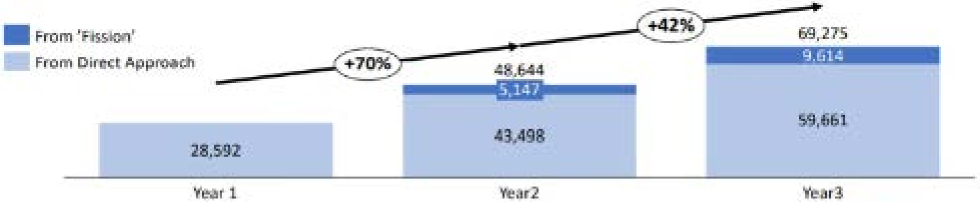
Who have interest in MiCar

× *%Conversion rate*

Who take a test drive

× *%Turnover rate*

MiCar Purchasers



Source: innOWator Analysis